2.2 THE GENERAL PRICE LEVEL

Multiple Choice Questions

1991/CE/II/46
What will happen when there is inflation?

A. The cost of living will fall.
B. The budget deficit will decrease.
C. The living standard will improve.
D. The value of money will decrease.

1991/CE/II/48
Unexpected inflation will

(1) increase government revenue.
(2) encourage exports.
(3) redistribute income.
(4) cause an inflow of short-term capital.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

1991/CE/II/50

Year	1990	1991
Consumer price index	100	125

According to the table above, which of the following statements is true?

A. The cost of living was lower in 1990.
B. The standard of living was lower in 1990.
C. The purchasing power of money was higher in 1991.
D. The consumption expenditure was higher in 1991.

1993/CE/II/42

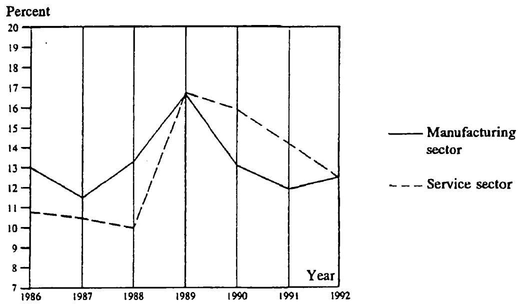
	November 1991	November 1992
Consumer Price Index (A)	117.7	128.5
Consumer Price Index (C)	118.7	129.9

The above table compares the indexes for November 1991 and November 1992. It shows that in November 1992, the _____________ of the higher income group increased at a ________ rate than that of the lower income group.

A. standard of living ...... faster
B. standard of living ...... slower
C. cost of living ...... faster
D. cost of living ...... slower

1994/CE/II/20

The following diagram shows the percentage increase in the nominal wages of workers in the manufacturing and the service sectors of an economy



The above diagram shows that in the period 1986-92,

A. manufacturing workers received higher total earnings than workers in the service sector.
B. manufacturing workers had lower average labour productivity than workers in the service sector.
C. if the inflation rate were below 10%, then real wages of workers in both sectors increased.
D. there was a shortage of workers in the service sector.

1994/CE/II/34

For Question No. 34, consider the following data of an economy producing only bread and shirts:

	Price in 1992 ($)	Price in 1993 ($)	Output in 1993 (units)
Bread	10	12	50
Shirts	20	25	20

The rate of inflation from 1992 to 1993 calculated by using the GNP deflator is:

A. 18.2%
B. 22.2%
C. 33.3%
D. 122.2%

1994/CE/II/38

Who will lose during an unanticipated inflation?

A. Mrs Lee, who has hired a Filipino maid
B. Mr Chan, who has bought ten coupons which can be exchanged for cakes at a bakery
C. Mr Fu, who runs a restaurant
D. Mr Wong, who has put all his money in his time deposit account

1995/CE/II/33

Year	1994	1995
GDP deflator	120	132

Based on the above data, we may conclude that from 1994 to 1995, the economy's

A. nominal GDP increased by 12%.
B. real GDP increased by 10%.
C. rate of deflation was 12%.
D. general price level increased by 10%.

1995/CE/II/36

Which of the following people will gain in times of unexpected inflation?

(1) holders of long-term government bonds
(2) holders of certificates of deposits
(3) those who have used credit cards to buy goods
(4) shareholders of companies which have issued long-term fixed-interest debentures

A. (1) and (2) only
B. (1) and (4) only
C. (2) and (3) only
D. (3) and (4) only

1996/CE/II/32

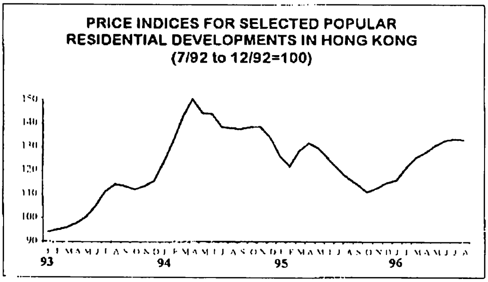
Study the following information about Country X:

Year	Nominal national income ($mn)	Price index
1988	8 000	100
1989	10 000	120

Comparing the year 1988 with 1889, we can conclude that

A. the cost of living increased by 20% in 1989.
B. the living standard in 1989 is generally higher.
C. the real GNP growth rate in 1989 is 25%.
D. the price of all goods and services increased by 20% in 1989.

1997/CE/II/25

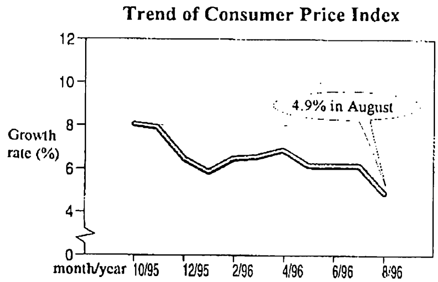


Source : *N.E. Asian Quarterly*, Standard Chartered, October 1996.

The above graph shows that in the first half of 1996,

A. the high price of housing had led to a low consumption of the citizens.
B. the living standard of Hong Kong people had improved.
C. Hong Kong's property market was on the upswing.
D. there was a lot of speculative activities in the property market of Hong Kong.

1997/CE/II/27



Source : *Hong Kong Economic Times*

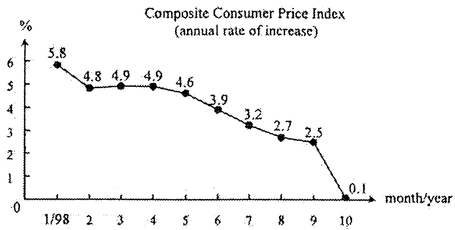
The above data reflects that during this period,

A. the consumption power of the people became weaker.
B. the economy was on a downswing.
C. the people consumed less but saved more.
D. the increase in the cost of living had slowed down.

1997/CE/II/31
An increase in the GDP deflator from 100 to 110 in a certain year means that

A. every household's cost of living has increased by 10%.
B. the general price level has increased by 10%.
C. the prices of all goods produced in the current year have increased by 10%.
D. people's nominal incomes have increased by 10%.

1999/CE/II/33
Study the figure below concerning the changes in the Consumer Price Index.



Form the figure, we can conclude that

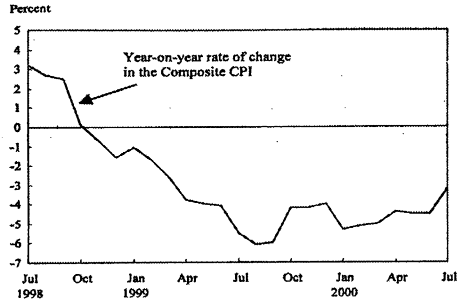
A. Inflation has stopped as prices go down.
B. Wages have decreased.
C. The cost of living has been rising at a slower rate.
D. Some debtors who purchased mortgages on flats recently have suffered a loss.

2000/CE/II/39
Mr A borrows money from a bank for a housing mortgage at a fixed interest rate of 7% p.a. After that the general price level falls continuously. In this event, Mr A loses and the bank gains. This is because.

A. The value of the mortgaged house has been falling.
B. Mr A's wage income has been falling
C. The bank can sell the house if Mr A fails to repay the loan.
D. When the general price level keeps on falling, the purchasing power of a fixed amount of interest will increase.

2001/CE/II/31

Chart 1 Movements of the Composite Consumer Price Index



Based on the data in Chart 1, under what situation would Mr Chan have gained from July 1999 to July 2000?

A. Before that period of time he had already borrowed a sum of money from a bank at a fixed interest rate.
B. His salary remained unchanged during that period of time.
C. He adjusted the rental charge to his tenant in a rental property according to the change in price level.
D. He had a collection of antique vases.

2001/CE/II/32
Refer to the following data about an economy.

	Year 1	Year 2
GDP deflator	150	180

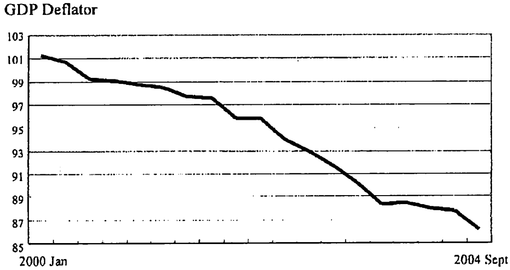
We can conclude that form Year 1 to Year 2,

A. the purchasing power of money has decreased.
B. the real national income has decreased.
C. the average standard of living has gone down.
D. the income distribution has become more uneven.

2005/CE/II/33
Which of the following would gain when unexpected inflation occurs?

A. holders of fixed deposits with banks
B. employees whose salaries are adjusted according to inflation
C. people who receive a fixed amount of unemployment benefits
D. a government which has issued bonds at fixed interest rates

2005/CE/II/34
Refer to the following diagram about the GDP deflator of Hong Kong from January 2000 to September 2004.



Source: Hong Kong SAR Government

Based on the above diagram, we can conclude that during this period,

A. the nominal GDP was decreasing.
B. the real GDP was decreasing.
C. the cost of living was increasing.
D. the purchasing power of money was increasing.

2006/CE/II/31
The Consumer Price Index (A) of Hong Kong in the third quarter of 2005 has increased. This means that ______ in Hong Kong has increased.

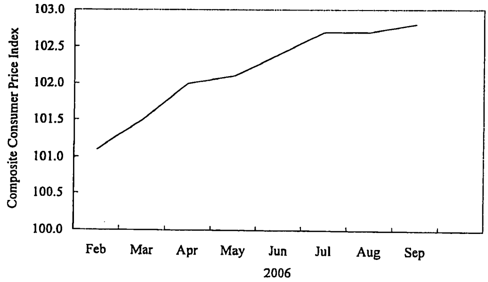
A. the price of all goods
B. the price of imported goods
C. the nominal national income
D. the cost of living

2007/CE/II/33
Which of the following statements about inflation is correct?

A. A continuous increase in the price of a good is not inflation.
B. During inflation, everyone suffers to the same extent.
C. During inflation, incomes and prices increase at the same rate.
D. Inflation may benefit some people, particularly those people whose incomes are fixed.

2007/CE/II/34

Refer to the following information about the composite consumer price index of Hong Kong.



Based on the above information, we can conclude that during this period in 2006,

A. the nominal GDP was falling.
B. the nominal GDP was increasing.
C. the purchasing power of money was falling.
D. the purchasing power of money was increasing.

2008/CE/II/31

Which of the following would lose during an unexpected inflation?

A. a tenant who has signed a fixed rental contract before the unexpected inflation occurs
B. an employer who has fixed the wage payment to his employees before the unexpected inflation occurs
C. a creditor who has loaned out a sum of money at a fixed interest rate before the unexpected inflation occurs
D. an insurer who is paying compensation, the amount of which was fixed before the unexpected inflation occurs

2008/CE/II/33

Year	Consumer Price Index (A)
2004	99.3
2005	100.3
2006	102.1

Based on the above table, we can conclude that during this period of time,

A. the per capita nominal GDP has increased.
B. the living standard has worsened.
C. the cost of living has increased.
D. All of the above are correct.

2009/CE/II/33

When inflation is expected,

(1) creditors will charge the debtors a higher nominal interest rate.
(2) workers will request for a raise in their nominal wage rates.
(3) people will tend to hold more monetary assets instead of real assets.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2009/CE/II/34

When the consumer price index of an economy increases from 100 to 110, it implies that

A. the prices of all consumer goods involved in the calculation of the index have increased by 10%.
B. the cost of living has increased.
C. the standard of living has increased.
D. people's nominal income has increased.

2012/DSE/I/32

The US government has accumulated a huge amount of debt, about US$14 trillion in 2011. If there is unexpected inflation in the US, which of the following parties will most likely gain?

A. Hong Kong residents holding cash in Hong Kong dollars under the linked exchange rate system
B. US citizens holding time deposits
C. countries holding a large amount of US government bonds, like China and Japan
D. the US government

2013/DSE/I/34

Which of the following people will benefit from unanticipated inflation?

A. A loan shark who lends out a sum of money at a floating interest rate
B. A manager who receives a fixed salary with the period of a two-year contract
C. A flat-owner who repays a fixed-rate mortgage loan
D. A retired teacher who receives dividends from various listed companies

2014/DSE/I/40

Which of the following statements about inflation is/are correct?

(1) Inflation occurs when the government handouts a large sum of cash to every citizen in a certain year.
(2) Inflation redistributes wealth from lenders to debtors if it is anticipated.
(3) People prefer holding real assets to cash under expected inflation.

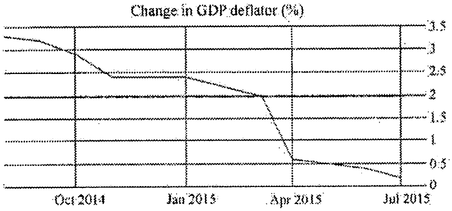
A. (1) only
B. (2) only
C. (3) only
D. (1), (2) and (3)

2015/DSE/I/36

When unanticipated deflation occurs, which of the following people will lose?

A. people paying a fixed amount of rental payment
B. people receiving interest from their savings deposits
C. people repaying a mortgage loan at a floating interest rate
D. people working under a fixed nominal wage contract

2016/DSE/I/24
Study the diagram below.



The diagram shows that during the period from October 2014 to July 2015,

A. the nominal GDP was falling.
B. the purchasing power of money was increasing.
C. the growth rate of real GDP was higher than that of nominal GDP.
D. the nominal interest rate was higher than the realised real interest rate.

2016/DSE/I/37
Which of the following people will gain in times of unexpected deflation?

(1) holders of i-bonds issued by the Hong Kong Government
(2) flat owners repaying floating rate mortgage loans
(3) pensioners receiving fixed pensions

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2017/DSE/I/34
When there is unexpected inflation, which of the following individual(s) will lose?

A. A firm owner paying his workers a fixed wage
B. A flat owner charging a rental with adjustment according to the change in price level
C. A retired civil servant receiving a fixed monthly pension
D. All of the above individuals will lose because the purchasing power of money will be lower.

2022DSE/I/39

If there is unexpected inflation, which of the following persons will lose?

A. a consumer who used credit cards to buy goods
B. an employer who signed fixed nominal wage contracts with his employees
C. a holder of certificate of deposits
D. an investor of bonds with the rate of return adjusted according to the inflation rate

2023/DSE/I/38

The table below shows the Composite Consumer Price Index of Hong Kong.

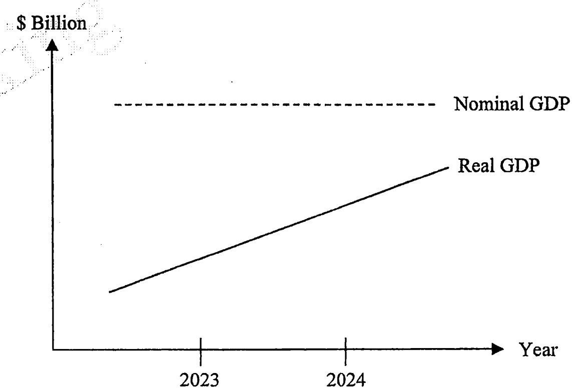
Year	Composite Consumer Price Index
2020	99.9
2021	101.4

Suppose people did not expect any change in the price level from 2020 to 2021. Which of the following persons would gain when the above change in price level occurred?

A. a lender who provided a one-year loan to an enterprise at a fixed interest rate in 2020
B. an employee whose salary in 2021 was adjusted according to the inflation rate
C. a student who paid a fixed tuition fee in both 2020 and 2021
D. an elderly who held time deposits in a bank from 2020 to 2021

2025/DSE/I/40

Study the following diagram.



Suppose people did not expect any change in the general price level from 2023 to 2024. Which of the following persons would lose when the change in price level implied by the above diagram occurred?

A. an investor holding a bond the interest rate of which is fixed at 2%
B. a landlord receiving a fixed monthly rental
C. an employer paying fixed salaries
D. a debtor repaying a loan at a floating interest rate

Short & Structured Questions

1990/CE/I/3(b)(ii)
Explain whether the following persons would gain or lose in times of inflation:

(I) a businessman who has borrowed money from a bank at a fixed interest rate

(II) a landlord whose premises have already been let at a fixed rent for the coming two years

(6 marks)

1993/CE/I/1(c)
Explain whether 'Yummy Yummy' will gain or lose if inflation occurs unexpectedly after

(i) it has signed a contract with a hospital to supply a standardized lunch package to the patients at a fixed price for a year.

(ii) it has deposited a sum of money with a bank at a fixed interest rate.

(6 marks)

1998/CE/I/1(a)
Define 'inflation'. (2 marks)

1999/CE/I/11(c)
Some taxi-drivers buy taxis by borrowing from banks. If the general price level goes down unexpectedly, explain under what circumstances these taxi-drivers will

(i) lose.
(ii) have no gain or loss.

(6 marks)

2001/CE/I/9(d)
"If an import tax is introduced on all imports to Hong Kong, it would affect Hong Kong's general price level but would not necessarily lead to inflation in Hong Kong." Explain why this statement is correct. (5 marks)

2003/CE/I/9(c)
Explain whether the following persons would gain or lose in times of unexpected deflation.

(i) Suppose an individual has borrowed a housing mortgage loan from a bank at a fixed interest rate.

(ii) Suppose a retired civil servant receives a fixed monthly pension from the government.

(6 marks)

2005/CE/I/7
Answer Questions 6 and 7 by referring to the following information about the Gross Domestic Product (GDP) of Hong Kong.

Table 1:

Year	Implicit price deflator of GDP	Per capita GDP at current market prices (HK$)
2001	98.1	188 835
2002	94.6	183 790
2003	89.6	179 333

Suppose people did not expect any change in the price level. Explain whether the following persons would gain or lose when the change in the price level indicated in Table 1 occurred.

(a) a businessman who obtained a bank loan in 2001 at a fixed interest rate for 2 years

(b) a businessman whose premises were let in 2001 at a fixed rent for 2 years

(4 marks)

2007/CE/I/4(b)
The table below shows the gross domestic product (GDP) statistics of Hong Kong:

(HK$ million)

Year	GDP at current market prices	GDP at constant (2000) market prices	GDP deflator
2003	1 233 983	1 390 610	88.7
2004	1 291 568	1 510 182	85.5
2005	1 382 052	1 619 984	A

Suppose people did not expect any change in the price level in years 2003 to 2005. Explain whether the following persons would gain or lose when the changes in the price level indicated in the above table occurred.

(i) a retired civil servant who receives a fixed monthly pension from the government

(ii) a person who borrowed a sum of money in 2003 from a bank at a fixed interest rate and repaid the loan in 2005
(6 marks)

2009/CE/I/5
Refer to the following information on economy A.

Year	Growth rate of GDP deflator
2006	+ 5%
2007	+ 4%
2008	+ 2%

(a) What is inflation? (2 marks)

(b) Suppose people did not expect any change in the price level in years 2006 to 2008. In 2006, Phelps borrowed a housing mortgage loan from a bank at a fixed interest rate. Explain whether Phelps would gain or lose when the changes indicated in the above table occurred. (3 marks)

2012/DSE/II/11(a)
Read the following news extract.

Hong Kong's inflation rate rose to 7.9% last month - the sharpest jump in 16 years - confirming what many families already feared as they struggle to keep up with the runaway cost of food and rent......

What is inflation? (2 marks)

2014/DSE/II/5
Study the following information about an economy.

Year	Consumer price index (CPI)
2012	120
2013	126

(a) Calculate the inflation rate in 2013. (1 mark)

(b) Explain **ONE** difference between using CPI and Gross Domestic Product (GDP) deflator to measure the change in the price level. (2 marks)

(c) Suppose people did not expect any change in the price level from 2012 to 2013. Explain whether each of the following persons would gain or lose when the change in the price level in the above table occurred.

(i) In 2012, Kitman borrowed a housing mortgage loan from a bank at a fixed nominal interest rate. (2 marks)

2018/DSE/II/10(b)
Who, the employers or the foreign domestic helpers, will suffer a loss if there is an unexpected inflation in the contractual period? Explain. (2 marks)

2019/DSE/II/6

Study Tables 1 and 2 and answer the following questions.

Table 1: Change in composite consumer price index (CCPI)

Year 2016	Year 2017
+2.3%	+1.7%

Table 2: Minimum wage rates per hour

Year 2016	Year 2017
$32.5	$34.5

(a) Based on Table 1, state the change in the general price level in 2017. (1 mark)

(b) On 1 January 2017, Siu Keung expected a +2.3% change of the CCPI in that year, and he lent a sum of money to Kitman at 5% interest rate per annum. On 31 December 2017, Kitman repaid the sum plus the interest to him. With reference to Table 1, explain whether Siu Keung would gain or lose. (3 marks)

(c) Kitman has been receiving the minimum wage rate per hour. With reference to Tables 1 and 2, explain how her real wage rate would change in 2017. (3 marks)